28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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